Market report

2026-10-27 16:27 CET. Latest prices on 2026-10-27. Claude's notes updated 2026-10-27.

1. Summary

> **The market as a whole is calm and near its high; the stress is in oil, bond yields and a few sold-off groups (software and data companies feared to lose to AI). That is where the bargains are.**

S&P 500
7,719.63
+0.6% today, -1.3% from high

VIX
17.6
-4.1% today

Above 200-day average
59%
of S&P 500 stocks

Near 52-week high / low
40 / 14
of 503

- **Indices:** the S&P 500 is about 1% below its high and up about 13% this year.
- **Pressure:** oil is near $100 and the US 10-year yield near 5%, both up sharply this year.
- **Fear:** the VIX is about 18, normal levels.
- **Opportunity:** software and data names sold off on AI fears still have growing earnings and are near decade-low valuations.

Stocks to look at: PODD, ADBE, ZTS, INTU, FIS, FICO, CSGP, COO, CVNA, NFLX.

2. The numbers

Markets

	Level	Day	1 month	This year	From 52-wk high
S&P 500	7,719.63	+0.6%	+0.5%	+12.6%	-1.3%
Nasdaq Composite	26,443.50	+1.0%	-1.4%	+13.8%	-4.2%
Dow Jones	52,413.67	+0.1%	+1.8%	+8.3%	-3.6%
Russell 2000	2,806.34	+0.7%	-0.4%	+11.9%	-8.5%
Euro Stoxx 50	6,160.50	+0.7%	-2.2%	+4.0%	-6.0%
FTSE MIB (Italy)	49,527.41	+0.7%	-4.3%	+9.2%	-7.8%
VIX (fear index)	17.63	-4.1%	+9.7%	+21.5%	-43.2%
US 10-year yield	4.98%	-0.1%	-4.9%	+19.0%	-6.2%
Oil (WTI)	100.15	-1.6%	+8.2%	+74.7%	-11.3%
Gold	4,071.80	+0.8%	-2.3%	-6.0%	-23.4%
Euro in dollars	1.1146	-0.6%	-2.0%	-5.1%	-7.3%
Bitcoin	80,385.42	+0.5%	-4.8%	-9.4%	-29.6%

S&P 500 sectors (sector ETFs), best this year first

Sector	Day	1 month	This year	From 52-wk high
Energy	-1.9%	+10.0%	+49.6%	-1.9%
Technology	+1.5%	-2.8%	+31.1%	-6.4%
Health care	-0.0%	+4.7%	+15.3%	-1.1%
Consumer staples	-0.6%	+6.3%	+12.5%	-2.9%
Materials	+0.8%	+4.7%	+12.3%	-3.5%

Sector	Day	1 month	This year	From 52-wk high
Industrials	+0.4%	-0.7%	+6.1%	-10.1%
Real estate	-0.5%	+3.0%	+5.4%	-7.5%
Financials	-0.2%	+3.2%	+1.8%	-4.5%
Utilities	+0.4%	+8.8%	-1.1%	-10.5%
Consumer discretionary	+0.9%	+5.7%	-2.6%	-7.4%
Communication	+0.1%	-6.5%	-11.1%	-13.5%

Stocks to look at: sold off, earnings still growing, cheap against their own history

Stock	Sector	Price	From 52-wk high	Adjusted P/E	5-yr median	10-yr median	EPS growth, 1 yr
PODD Insulet Corporation	Health Care	$147.76	-57.3%	25.2x	91.4x	288.6x	+38.4%
ADBE Adobe Inc.	Information Technology	$251.68	-30.1%	10.6x	27.8x	29.4x	+16.7%
ZTS Zoetis	Health Care	$78.70	-46.7%	12.0x	32.7x	30.3x	+5.8%
INTU Intuit	Information Technology	$329.77	-51.7%	13.6x	34.8x	32.6x	+20.3%
FIS Fidelity National Information Services	Financials	$35.69	-47.1%	5.9x	13.8x	18.9x	+12.5%
FICO Fair Isaac	Information Technology	$700.58	-62.0%	17.6x	40.5x	35.4x	+38.5%
CSGP CoStar Group	Real Estate	$32.72	-58.2%	30.0x	75.2x	59.1x	+36.3%
COO Cooper Companies (The)	Health Care	$59.65	-29.3%	13.0x	26.7x	25.3x	+14.7%
CVNA Carvana	Consumer Discretionary	$57.73	-39.7%	31.9x	59.6x	59.6x	+123.5%
NFLX Netflix	Communication Services	$62.85	-45.7%	18.2x	33.7x	61.3x	+44.2%

S&P 500 stocks at least 25% below their 52-week high (67 of them with growing adjusted EPS), ranked by adjusted P/E against the lower of their 5- and 10-year median yearly P/E. Stocks with under six years of history or a P/E below 5x (usually a data problem) are left out. Adjusted EPS is Yahoo's reported quarterly EPS, as in the watch list analyses. One-offs inside it are not corrected here, so check each name before acting.

3. Analysis

What is driving the market

Oil topped $100 a barrel in September on Middle East supply worries, and the 10-year yield broke 5% for the first time since 2023 on inflation fears and the chance of Fed rate rises. The index has held up because the largest companies keep growing earnings, but breadth is middling: a little under 60% of S&P 500 stocks are above their 200-day average.

The stocks to look at

The screen picks stocks sold off by at least 25% whose adjusted earnings are still growing. Adobe, Intuit and Fair Isaac match the October 25 panic-sell screen: AI fears rather than falling profits. Check each name's latest results and any one-offs in its earnings before acting.

What to watch

- Oil and the 10-year yield: a move back below 4.5% would ease the pressure on valuations.
- Earnings season this week and next, including BSX (Oct 28) and BKNG (Nov 3) from the watch list.

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